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The Imperial Bank of India

THE IMPERIAL BANK WAS FORMED as a joint-stock bank in January 1921 by amalgamating the Presidency Banks of Bombay, Calcutta, and Madras. The amalgamation could be said to be largely the outcome of rapprochement on the part of the banks themselves. Their profitable co-operation during the war coupled with the fear of an invasion from London clearing banks, made them realize the commonness of their interests. A.R. Chisholm who was the Managing Director of the bank in a letter to a shareholder recalled in brief the reasons for the amalgamation: the banks had common interests; amalgamation would result in enhanced resources and prestige; and the new bank would be better placed to expand banking facilities throughout India. Strangely though, he said nothing about the threat from London banks.[1] There was also the pressure of public opinion which saw such an amalgamation as a great instrument for the extension of banking facilities in the country. This amalgamation was also a response to the felt need for a bank which would hold government balances and use them to deepen the country's financial structure.

SETTING UP THE IMPERIAL BANK OF INDIA

The Indian Legislative Council passed the bill to constitute the Imperial Bank and the relevant Act (Act XLVII of 1920) came into force on January 27, 1921. On the appointed date, the new bank formally opened for business after taking over the undertakings and business of the three Presidency Banks of Bengal, Bombay, and Madras.